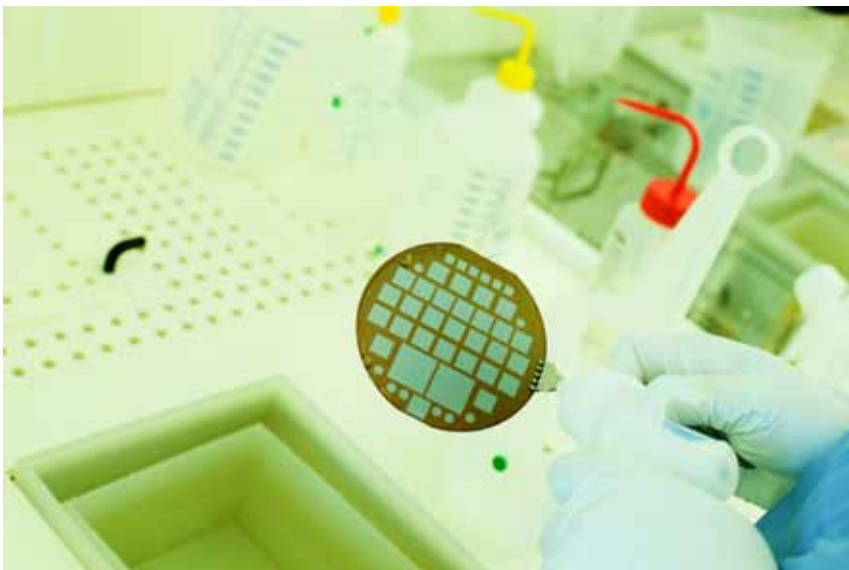




Scientist fabricating sensors on semiconductor wafer

committed huge manufacturing investment into India or in IT hardware where, again, we have Dell, HP, Acer manufacturing in India,” notes Saurabh.

There are four parts of the scheme. The first one is regarding semiconductor fab where the government is committing almost \$10 billion for the overall project. For fab alone it is committing 500 billion rupees, which is almost \$7 billion; three or three-and-a-half billion dollars for each fab. Then there is display fab scheme, where again there are various form factors of displays. In the compound semiconductor, that is, in the RF and power category, there already are companies who have registered on the portal. The government, as per Gaur, has received good response in semiconductor packaging as well. Fourth is the semiconductor design linked incentive scheme, where the government has already received 25 odd registrations on the portal.

Saurabh adds, “So we have full registration on the third part and on the first two pieces also have a limited window available, and there is a lot of homework that is required, and we are in constant touch with the potential applicants, and we

hope to get a good response in that as well.”

The road ahead

Though biggies like Tata and Vedanta have announced big investments and plans, this is not the first time that the country is looking to establish a local ecosystem for semiconductor manufacturing. There has been more than one attempt in the past. As a matter of fact, Vedanta itself had to back out from setting up a display manufacturing unit in India a couple of years ago. The manufacturing in other sectors of electronics has also not come to India as was expected in the past.

“Corning’s display glass manufacturing strategy involves disciplined growth to ensure that the global display industry and end-market demand are aligned. One example of disciplined growth is our track record of co-locating with our customers. Our glass plants are directly connected to our customers’ fabs. This eliminates packaging, maintains the glass quality, and reduces costs. It also makes us an irreplaceable part of our customers’ operations. We are excited about what is yet to come in the display business and by Corning’s role in driving this industry

ahead,” says Sudhir.

“I believe the impetus is now on value adding. First of all, anywhere the assembly section would start like an EMS play, which might not be much of value add but is needed. The PLI schemes by the government are driving the low-investment assembly plants. Today the demand is huge. Our chairman always says that even if you exclude China, and if you count the population of the countries neighbouring India, it still counts for one-third of the world’s population. Forget these countries, the majority of homes in India still do not have TV in their house. 500 million Indians do not have a smartphone. This is just the domestic demand I am talking about. Companies and people migrate only when there is a core mass,” says Pranav.

He adds, “Display and semiconductor fabs can only come when there is core mass. They act as anchors. There is no place in the world where these industries have come up without the presence of these anchors. We find that the policy is excellent for fab set-up. The third dimension now is to get into quick movement. One way is to invent on our own and do it in 10 to 20 years, while the other way is to partner and learn from the masters.”

The technology partnerships would indeed be crucial for companies setting up display or semiconductor fabs in the country. China, Korea, Japan, or the United States of America have been successful and profitable at what they do because the governments, and the private players, never hesitated in collaborating outside their borders. Yes, they assessed all the risks and possibilities, but they were clear from the beginning about their success plans going through the bridge of collaborations, partnerships, and technology transfer.

“The demand is huge right now worldwide with AI coming in and trying to mimic the human brain.